

TAX ON OTHER INCOME: SCHEDULE D



- This schedule includes income received from:-
 - ▣ Royalty
 - ▣ Technical/management services
 - ▣ Insurance premium by non-residents
 - ▣ Dividend
 - ▣ Income of non-resident entertainers
 - ▣ Interest
 - ▣ Income from Games of chance
 - ▣ Casual rental of property
 - ▣ Gain on transfer of investment property.

Income of Non-residents

- A non-resident who has derived an Ethiopian source dividend, interest, royalty, management fee, technical fee, or insurance premium shall be liable for non-resident tax at the rate specified .
- The rate of non-resident tax is:
 - a) for an insurance premium, 5% of the gross amount of the premium;
 - b) for a dividend, interest, or royalty, 10% of the gross amount of the dividend, interest, or royalty; or
 - c) for a management or technical fee, 20% of the gross amount of the fee.

Royalties

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- ‘Royalty income’ means a payment of any kind received as a consideration for the use of, or the right to use, any copyright of literary, artistic or scientific work including cinematography films, and films or tapes for radio or television broadcasting.
- A resident of Ethiopia who derives a royalty shall be liable for income tax at the rate of 5% on the gross amount of the royalty.
- A non-resident who derives an Ethiopian source royalty that is attributable to a permanent establishment of the non-resident in Ethiopia shall be liable for income tax at the rate of 5% on the gross amount of the royalty.

Example

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- Assume that the Famous Ethiopian musician XXX sold his album called “YYYY” at Birr 1,000,000 to Electra Music Studio.
- **Required:** Determine the amount of other income tax and record the tax liability at the time of payment to the artist and to the tax authority.

Solution

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$$\text{OIT} = \text{Br. } 1,000,000 * 5\% = \text{Br. } 50,000$$

Journal Entry:

At the time of payment:

Copy Right	1,000,000
Cash	950,000
OIT Payable.....	50,000

At time of submission to the tax authority:

OIT Payable	50,000
Cash	50,000

Dividends

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- A resident of Ethiopia who derives a dividend shall be liable for income tax at the **rate of 10%** of the gross amount of the dividend.
- A non-resident who derives an Ethiopian source dividend that is attributable to a permanent establishment of the non-resident in Ethiopia shall be liable for income tax at the **rate of 10%** on the gross amount of the dividend.

Interest

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1 / A resident of Ethiopia who derives interest shall be liable for income tax at the rate of:

a) in the case a savings deposit with a financial institution that is a resident of Ethiopia, **5%** of the gross amount of the interest; or

b) in any other case, **10% of the gross amount of the interest.**

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2/ A non-resident who derives Ethiopian source interest that is attributable to a permanent establishment of the non-resident in Ethiopia shall be liable for income tax at the rate of:

a) in the case a savings deposit with a financial institution that is a resident of Ethiopia, 5% of the gross amount of the interest; or

b) in any other case, 10% of the gross amount of the interest.

Income from Games of Chance

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1/ A person who derives income from winning at games of chance held in Ethiopia shall be liable for income tax at the **rate of 15%** on the gross amount of the winnings.

2/ In computing the gross amount of winnings under sub-article (1) of this Article, no deduction shall be allowed for any loss incurred by the person from games of chance.

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3/ Sub-article (1) of this Article shall not apply when the winnings are less than 1000 Birr.

4/ In this Article, “games of chance” means a game whose outcome depends primarily on chance rather than the skill of the participant, including a lottery, card game, or tombola.

Income from Casual Rentals

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1/ A person who derives income from the casual rental of property in Ethiopia (including any land, building, or movable property) shall be liable for income tax on the annual gross rental income at the rate of 15% of the gross amount of the rental income.

2/ This Article shall not apply to income that is a royalty taxable under Article 50 or 53 of this Proclamation.

Gains on Disposal of Certain Investment Asset (Capital Gain)

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- A person who derives a gain on the disposal of immovable asset, a share, or bond (referred to as a “taxable asset”) shall be liable to pay income tax at the rate a
 - ▣ for a class ‘A’ taxable asset (means immovable asset), 15%;
 - ▣ for a class ‘B’ taxable asset (means shares and bonds), 30%.
- Gains obtained from transfer of building held for residence shall be exempt. A building used for dwelling shall be exempt from capital gains only if such building is fully used for dwelling for two years prior to the date of alienation (the date of transfer).

Capital Gain

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A. For Business Buildings

Capital Gain Tax = Taxable Capital Gain @ 15%

Selling Price of the building..... XXXXX

Less: Cost of Building..... (XXXXX)

Gross Capital Gain..... XXXXX

Less: Inflation Adjustment..... XXXXX

Taxes paid for the land..... XXXXX

Taxes Paid for the Building..... XXXXX

Loss carried on the Sale of Building XXXXX

Total Deduction..... (XXXXX)

Taxable Capital Gain XXXXX

Capital Gain Tax (Taxable Capital Gain @ 15%) XXXXX

Example

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- SI Business Enterprise sold its building which has a cost of Br 85,000 at Br 185,000. The Building was held for 10 years and Br 11,000 Land and Building tax was paid on the building during the 10 years period. If the average inflation rate is **5% during construction and 35% during transfer**, determine the Taxable Capital Gain and the Capital Gain Tax.

Solution

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Selling Price	185,000
Less: Cost of building.....	85,000
Gross Capital Gain.....	100,000
Less: Land and building tax	11,000
Inflation adjustment:	
(85,000*1.35-85,000*1.05).....	<u>25,500</u>
	<u>36,500</u>
Or (85,000*1.30 -85,000)	
Taxable Capital Gain	63,500
Capital Gain Tax (15%).....	<u>9,525</u>

Example

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- Ato Jara sold his personal home at Birr 150,000 in 1996 E.C. The home was accomplished with the cost of Birr 95,000 in 1993 E.C. Determine the Capital Gain Tax assuming that the person paid Br 2,200.00 Land and Building Tax and the applicable Prince Index is 1.25 in this regard.
- **Solution:** Since it is persona; home, no need of paying tax being used for more than two years before transfer.

Capital Gain

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B. For Shares of Stock

Capital Gain Tax = Taxable Capital Gain @ 30%

Selling Price of the Share..... XXXXX

Less: Par Value or Cost of Shares..... (XXXXX)

Gross Capital Gain..... XXXXX

Less: Inflation Adjustment..... XXXXX

Loss carried on the Sale of Shares..... XXXXX

Total Deduction..... (XXXXX)

Taxable Capital Gain XXXXX

Capital Gain Tax (Taxable Capital Gain @ 30%) XXXXX

Example

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- Ato Abebe Purchased 100 Shares from NIB International Bank S. Co. at Birr 1100 per share when the par value is Birr 1000 per share on January 1, 2003. Ato Abebe sold the shares at Birr 1700 per share on February 20, 2005. Taking year 2003 as a base year, the price index is 1.15 in 2005. Determine the tax on the Capital Gain

Solution

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Selling Price of share (1700×100)	170,000
Less: Cost of Share (Par Value) (100×1000)	100,000
Gross Capital gain.....	70,000
Less Inflation adjustment ($100,000 \times 1.15 - 100,000$)	15,000
Taxable Capital Gain.....	55,000
Capital Gain Tax ($30\% \times 55,000$)	16,500

Windfall Tax

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- 1) Windfall profit obtained from businesses prescribed in a directive to be issued by the Minister shall be liable to tax at a rate to be determined in such Directive.
- 2) The Minister is empowered to prescribe by a directive:
 - a) the amount of income to be considered as windfall profit;
 - b) businesses that are subject to tax levied on windfall profit;
 - c) the date on which such tax shall become effective;
 - d) the manner in which the tax is assessed and factors that need to be taken into consideration;

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- 3. The Minister may, taking into consideration the nature of the business, prescribe different amounts to be considered as windfall profit and rates for different types of businesses.
- 4. In this Article, “windfall gain” means any unearned, unexpected, or other non-recurring gain.

Undistributed Profit

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- Tax shall be paid at the **rate of 10%** on the net undistributed profit of a body in the tax year to the extent that it is not reinvested in accordance with the directive to be issued by the Minister.

Repatriated Profit

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- A non-resident body conducting a business in Ethiopia through a permanent establishment shall be liable for tax at the **rate of 10%** on the repatriated profit of the permanent establishment.

Other Income

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- A person who derives any income that is not taxable under Schedule A, B, C, or the other Articles of this Schedule shall be liable for income tax at the **rate of 15%** on the gross amount of the income.